Size Is a Position

Churn in the market-cap rankings of Indian equities, 2017H2 to 2026H1

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Contents

01 The yardstick moves Q1–3

02 The top of the pyramid Q4–6

03 Mobility Q7–10

04 Births Q11–13

05 Falls and disappearances Q14–16

06 So what? Q17–19

Eighteen lists, five tiers

TIER	RANK SLOTS	COMPANIES
Large-cap	1–100	100
Mid-cap	101–250	150
Small-cap	251–500	250
Micro (this lecture)	501–1000	500
Outside	1001 onwards	—

Source: AMFI's half-yearly lists of companies ranked by average market cap, published under SEBI guidelines, 2017H2 to 2026H1.

A data problem to know first

- A company's ISIN changes when it splits its shares
- HDFC Bank, Bajaj Finance, Kotak, Nestlé, Tata Steel, Eicher and Britannia all carry new ISINs
- Match on ISIN alone and they appear to exit, then list fresh
- Here, companies are matched on ISIN, then NSE symbol, then BSE symbol

Survival tables that match on ISIN alone overstate churn.

Foreign sponsors sold; buyers kept the duplicates

SELLER	BUYER	YEAR
Fidelity	L&T Finance	2012
Daiwa	SBI	2013
ING	Birla Sun Life	2014
Morgan Stanley	HDFC	2014
PineBridge	Kotak	2014
Deutsche	DHFL Pramerica	2015
Goldman Sachs	Reliance (now Nippon)	2016
JPMorgan	Edelweiss	2016

Why they left

A crowded field of about forty AMCs. No entry loads after 2009, direct plans from 2013: fees fell as the rules favoured investors over AMC margins.

Why buyers kept both

Each acquisition brought a second large-cap or diversified fund. Fee ceilings fall as a scheme grows, so two schemes could earn more than one merged scheme.

Names that said nothing, until SEBI drew the lines

The investor's problem

Bluechip, Magnum, Frontline, Vision, Top 200: different names, often the same large-cap fund underneath.

Each AMC defined large-cap its own way: top 100, Nifty 50, BSE 100, top 200, a rupee floor.

"Large-cap" funds differed widely in how much they actually held in large-caps.

Those AMFI lists are this lecture's data.

SEBI, 6 October 2017

36 categories; one scheme per category per AMC.

Large-cap is ranks 1–100, mid-cap 101–250, small-cap 251 onwards, by full market cap.

A large-cap fund holds at least 80% in large-caps. AMFI publishes the ranked list twice a year.

Why SEBI acted: the wider case

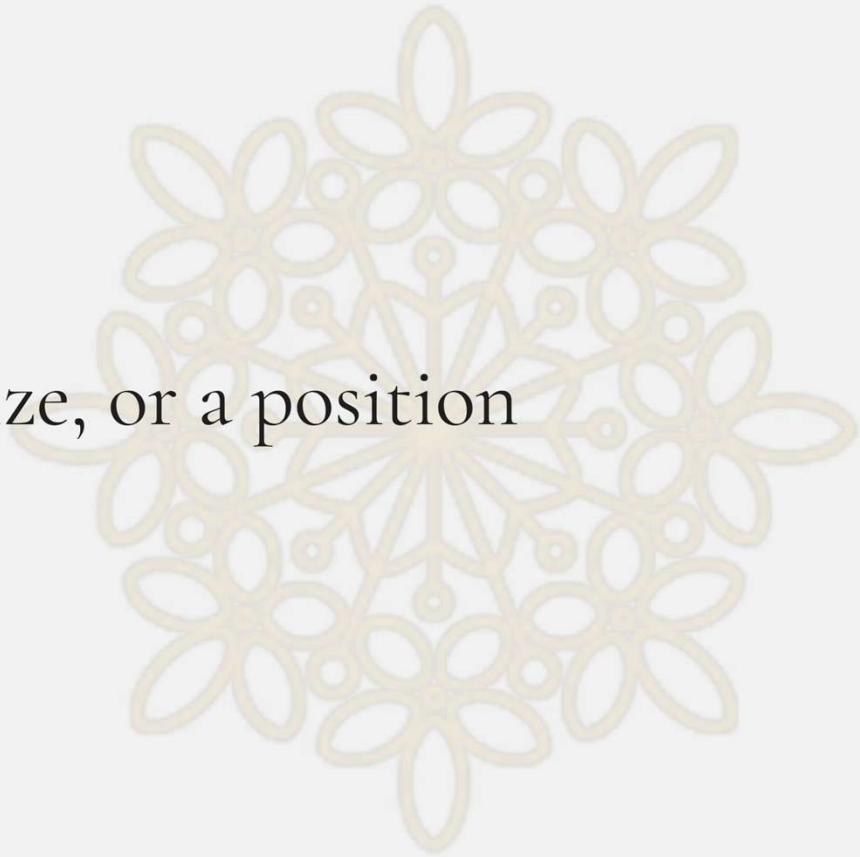
- Proliferation: hundreds of overlapping schemes, many of them small
- Style drift: "large-cap" funds free to wander into mid- and small-caps
- Unfair comparisons: self-chosen benchmarks and peer groups
- NFO churning: look-alike launches to earn distributors higher commission
- New SIP investors after 2016 who needed labels they could trust
- Debt and hybrid names that hid duration, credit and equity risk

01

The yardstick moves

Questions 1–3





“Is ‘large-cap’ a size, or a position in a queue?”

Q1 · ACT I

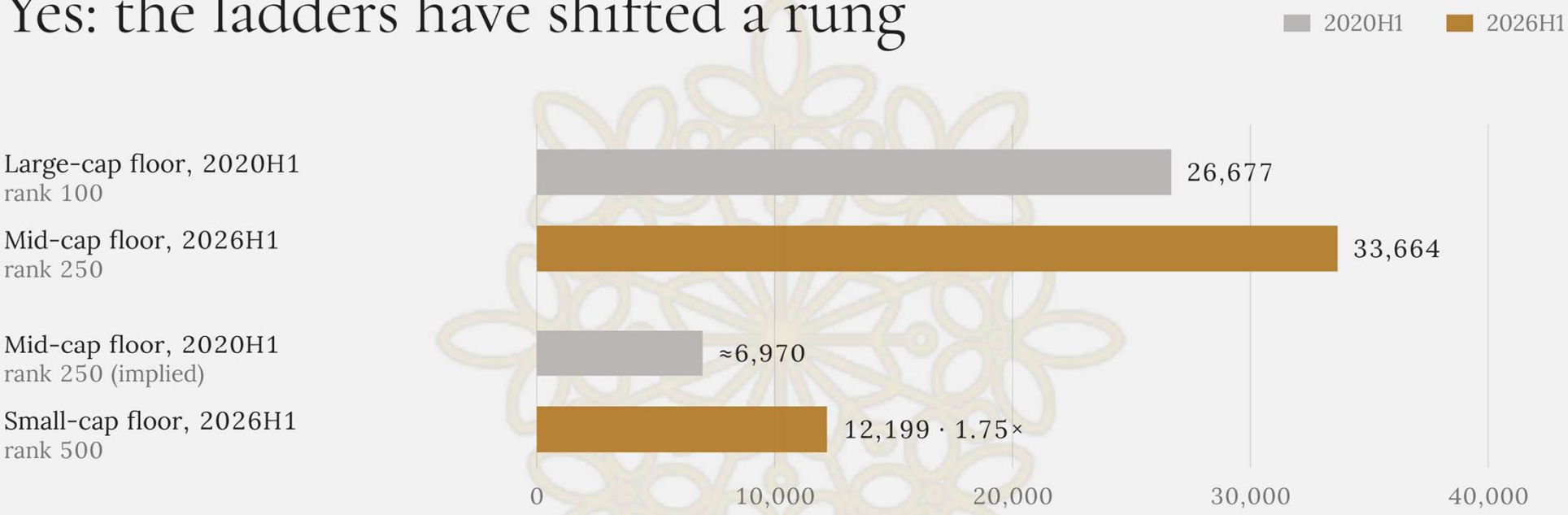
The entry ticket keeps rising



Market cap at the cutoff rank, ₹ crore, log scale. Rank 1000 is up about 9× from its 2020H1 low. The lower the tier, the faster its cutoff grew.

“Would a 2026 midcap have qualified as large-cap in 2020?”

Yes: the ladders have shifted a rung



Market cap at the cutoff rank, ₹ crore. The 2020H1 rank-250 figure is implied from the 1.75× ratio.

QUESTION 3 · CONCENTRATION



“Do a handful of giants own Dalal Street?”

Q3 · ACT I

Concentration rose, then fell sharply

	2017H2	PEAK (2020)	2026H1
Top-10 share of total market cap	23.5%	33.3%	20.2%
Top-100 share of total market cap	68.0%	74.0%	59.5%
Rank 1 ÷ rank 1000	903×	3,531×	660×

The post-COVID rally widened the market: companies below the top 100 grew faster than the giants.

02

The top of the pyramid

Questions 4–6



"Name the top 10 of 2017. How many are still there?"

Q4 · ACT II

Five names, all eighteen lists

Never left

Reliance

TCS

HDFC Bank

Hindustan Unilever

Infosys

Dropped out

ONGC, early

Maruti Suzuki, early

LIC, in and out

Came in

Bharti Airtel

ICICI Bank

Bajaj Finance

Larsen & Toubro

The leaders shifted from consumer and IT toward banks, telecom and capital goods.



"Buy the 2017 top 100 and never touch it. Is it still a large-cap portfolio?"

Q5 · ACT II

Only 63 of the 2017 top 100 are still large



BIGGEST FALLERS	RANK, 2017H2	RANK, 2026H1
Zee Entertainment	59	600
Sammaan Capital (Indiabulls Housing)	60	436
Vakrangee	100	1,674



“Which stock has changed category seven times in eight years?”

Q6 · ACT II

Bosch: large, mid, large, mid…



Five crossings each

Hero MotoCorp, REC, Zydus, Polycab, Jindal Steel

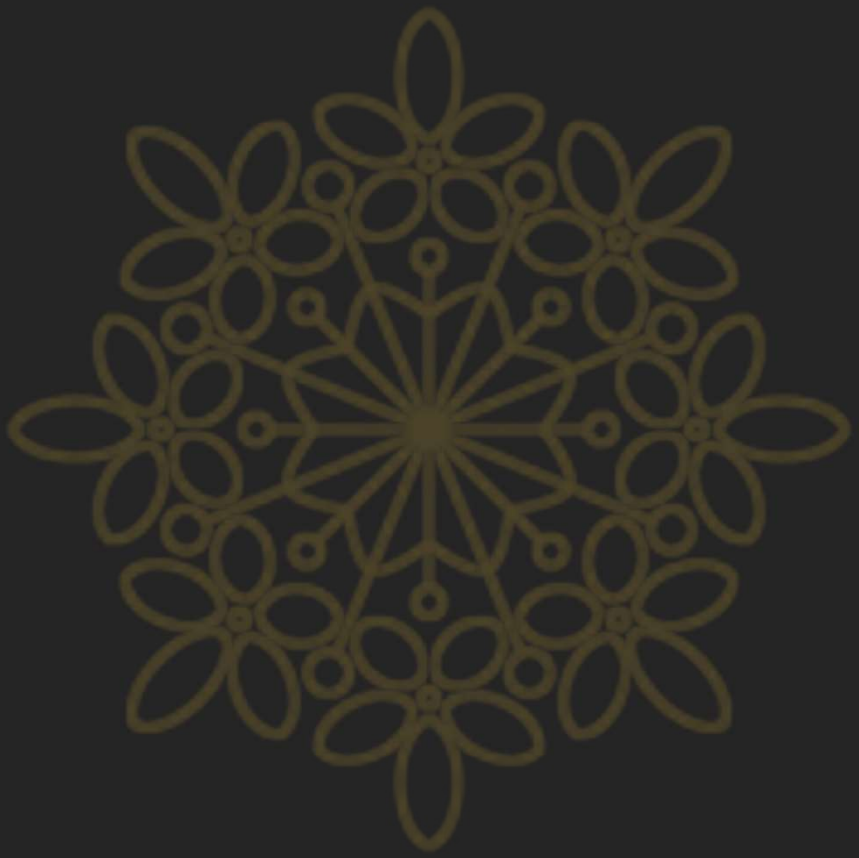
Gap, rank 90 to rank 110

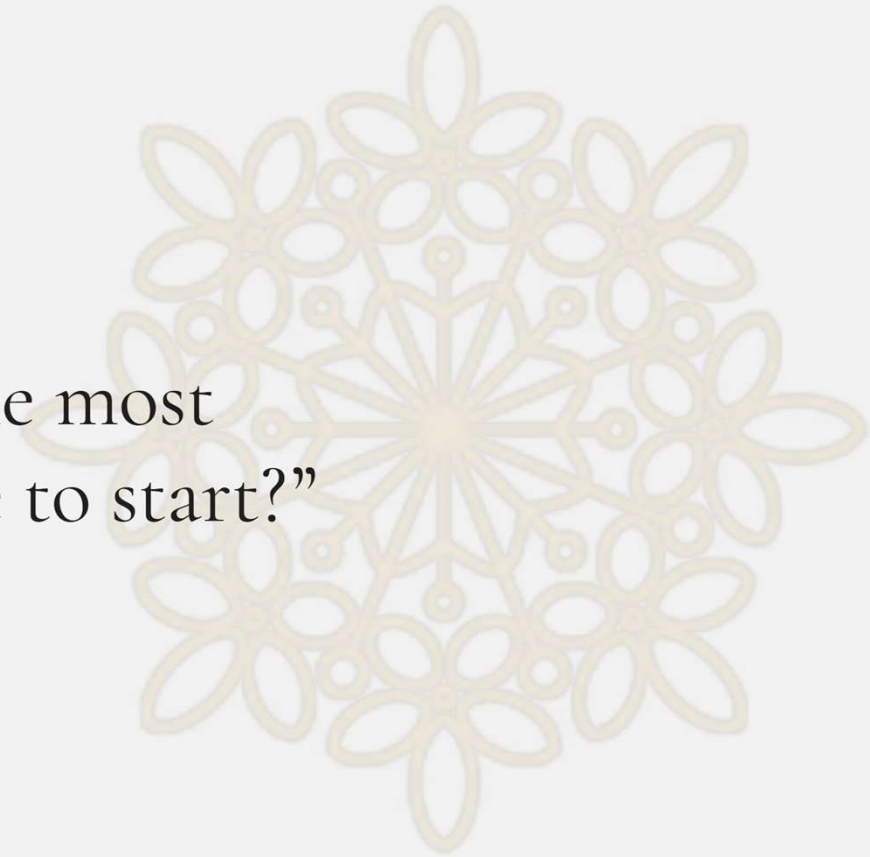
31–35% in 2017–20, down to 12–14% in 2024–26. A small price move now flips a category.

03

Mobility

Questions 7–10



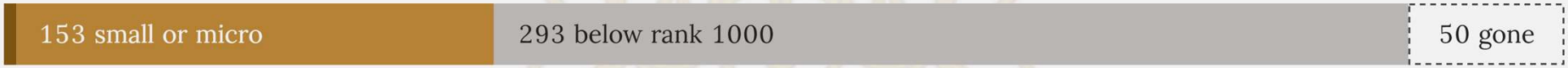


"Which tier is the most dangerous place to start?"

Q7 · ACT III

Micro: where 500 companies of 2017H2 are now

4 reached mid-cap · 0 reached large-cap



157
still in the top 1000

293
fell below rank 1000

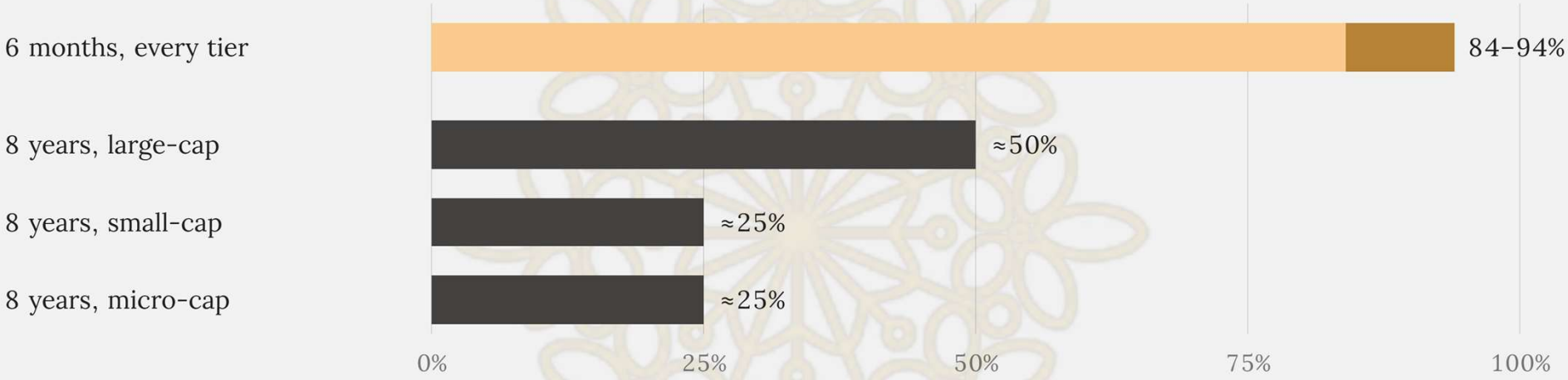
50
vanished from the list



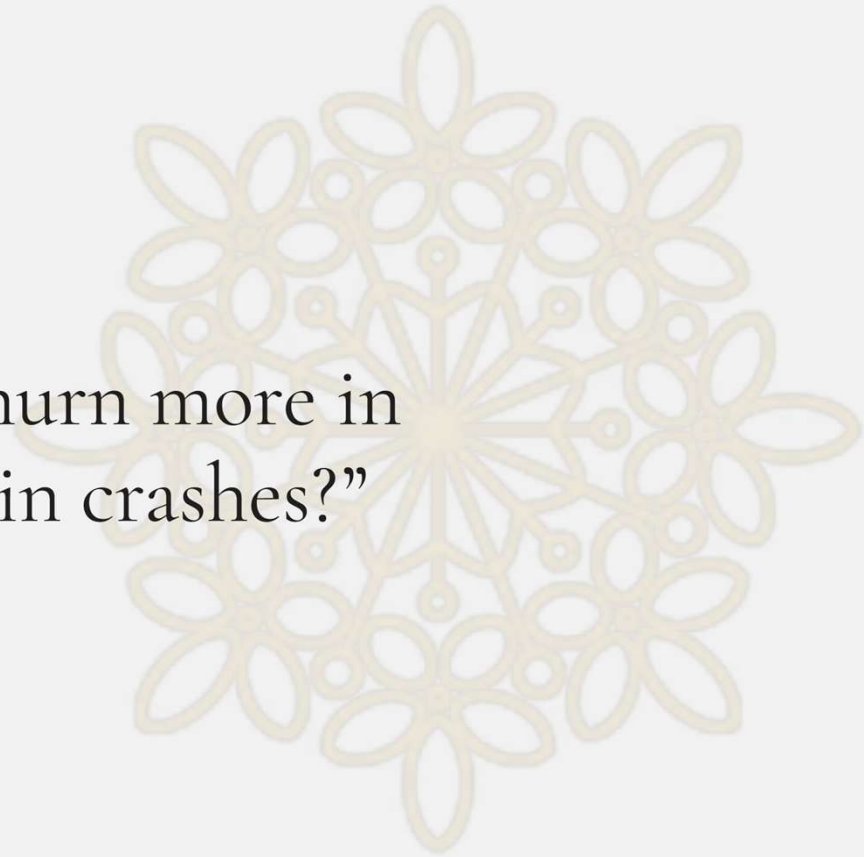
"Over six months, everything looks stable. Is that true over eight years?"

Q8 · ACT III

Stable in six months, scrambled in eight years



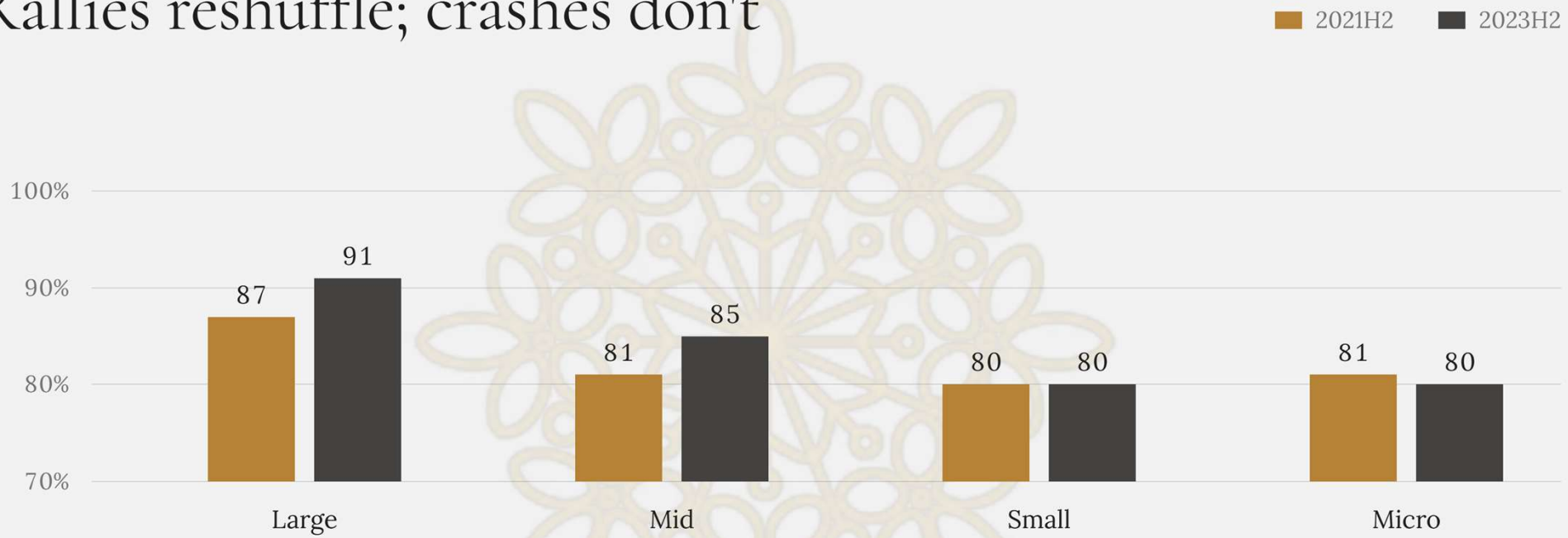
A category is a description of the present, not a forecast.



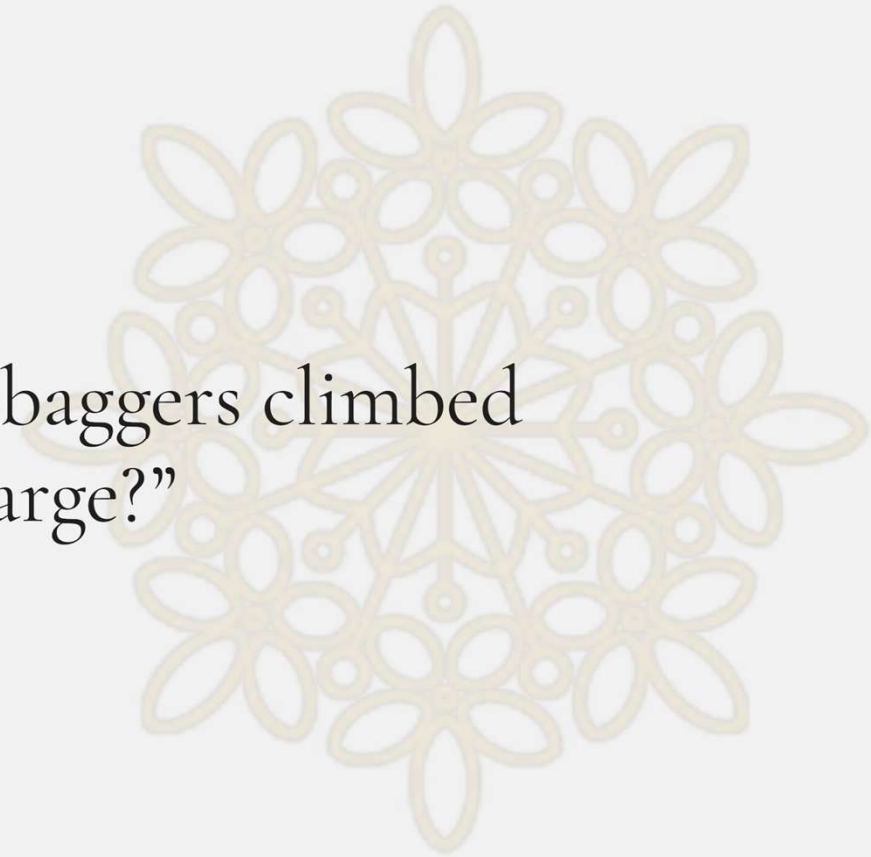
“Do categories churn more in bull markets or in crashes?”

Q9 · ACT III

Rallies reshuffle; crashes don't



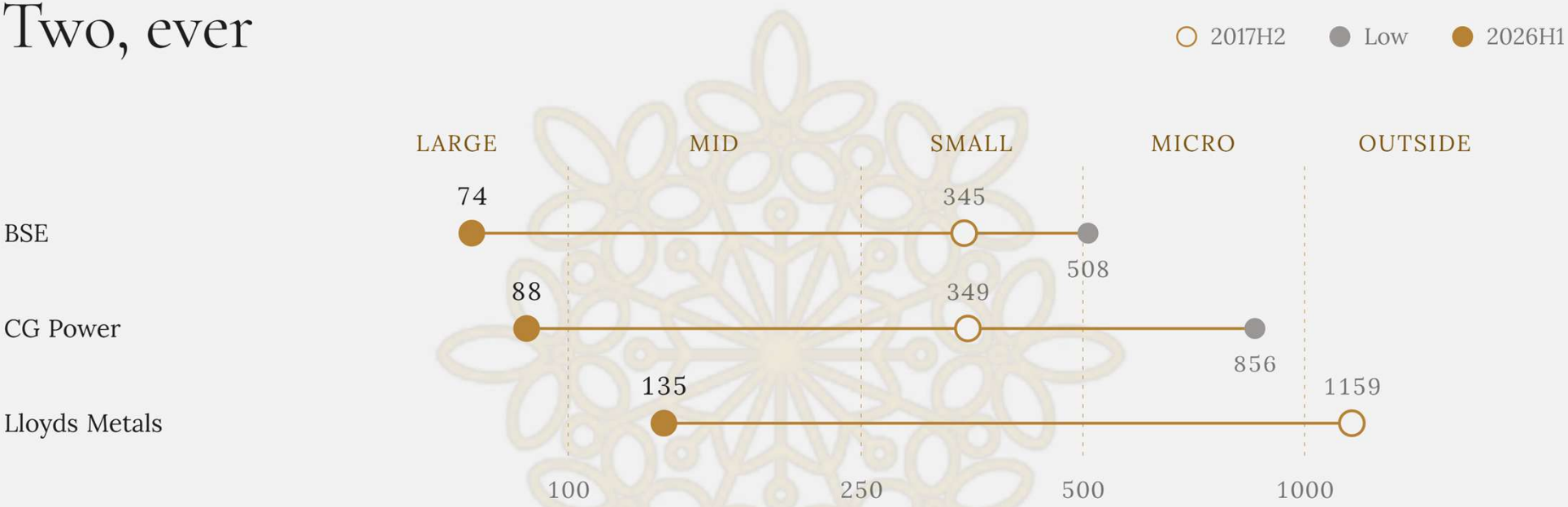
Share of each tier still in it six months later; axis starts at 70%. Calmest period: 2020H1, the COVID crash. When everything falls together, the ranking barely changes.



“How many 100-baggers climbed from micro to large?”

Q10 · ACT III

Two, ever

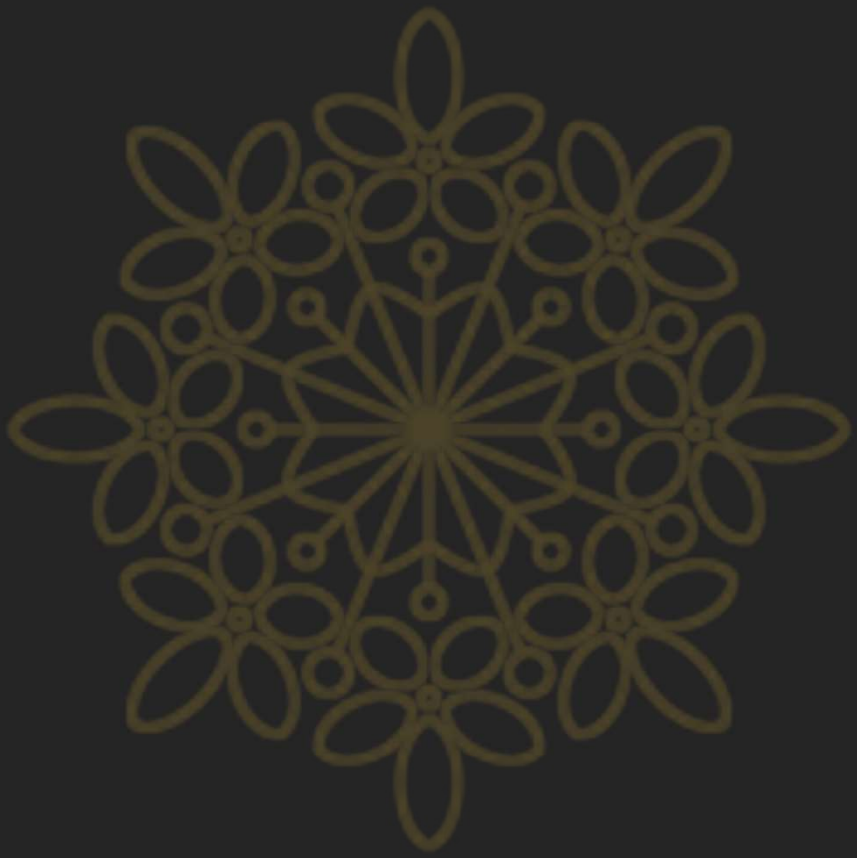


Rank, log scale. Only 12 companies rose from below rank 250 into the top 100, among them Solar Industries, Tube Investments, Indian Bank, RVNL, Mazagon Dock and Hitachi Energy. Lloyds Metals is the biggest climber overall.

04

Births

Questions 11–13





“Does listing big mean staying big?”

Q11 · ACT IV

Listing big, staying big: a clear split

COMPANY	DEBUT RANK	RANK NOW	MARKET CAP SINCE DEBUT
HAL	84	29	8.1×
Eternal (Zomato)	44	37	—
Nykaa	48	141	0.73×
Paytm	54	146	0.74×
SBI Cards	48	161	—
Bandhan Bank	54	277	0.47×
AWL	69	300	0.36×

Hyundai and Jio Financial held their place. Swiggy, NTPC Green and Bajaj Housing are each at about 0.6–0.7× their debut value.



"Guess how much of today's top 1000 is new."

338

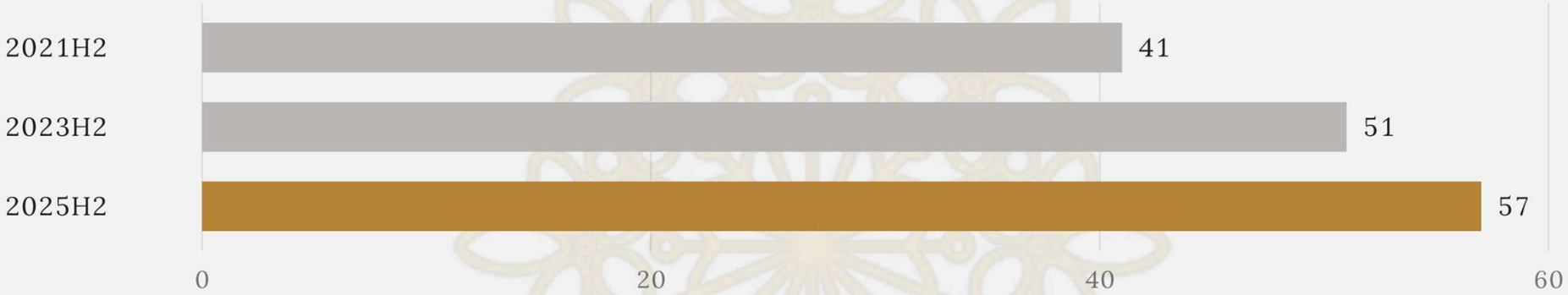
of today's top 1000, and 53 of the top 250, were not on the 2017H2 list. The count includes demergers such as Jio Financial, the Tata Motors split and Vedanta Aluminium.



“Which half-year had the biggest listing boom?”

Q13 · ACT IV

2025H2, by far



New names that entered the top 1000 directly. In 2025H2, 233 new names appeared in all; 11 went straight into the top 250, including LG Electronics, Tata Capital, ICICI Pru AMC, Lenskart, Meesho and Groww (Billionbrains).

05

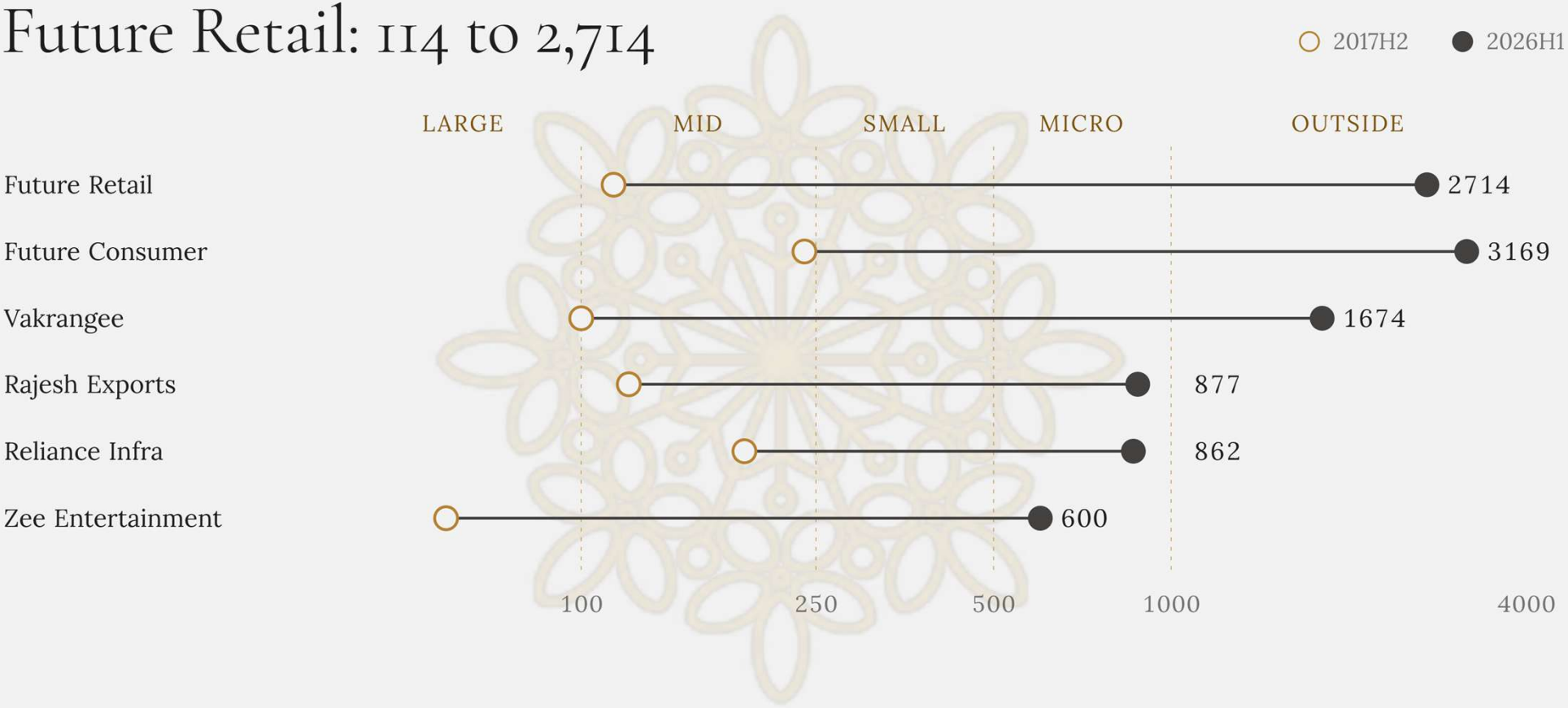
Falls and disappearances

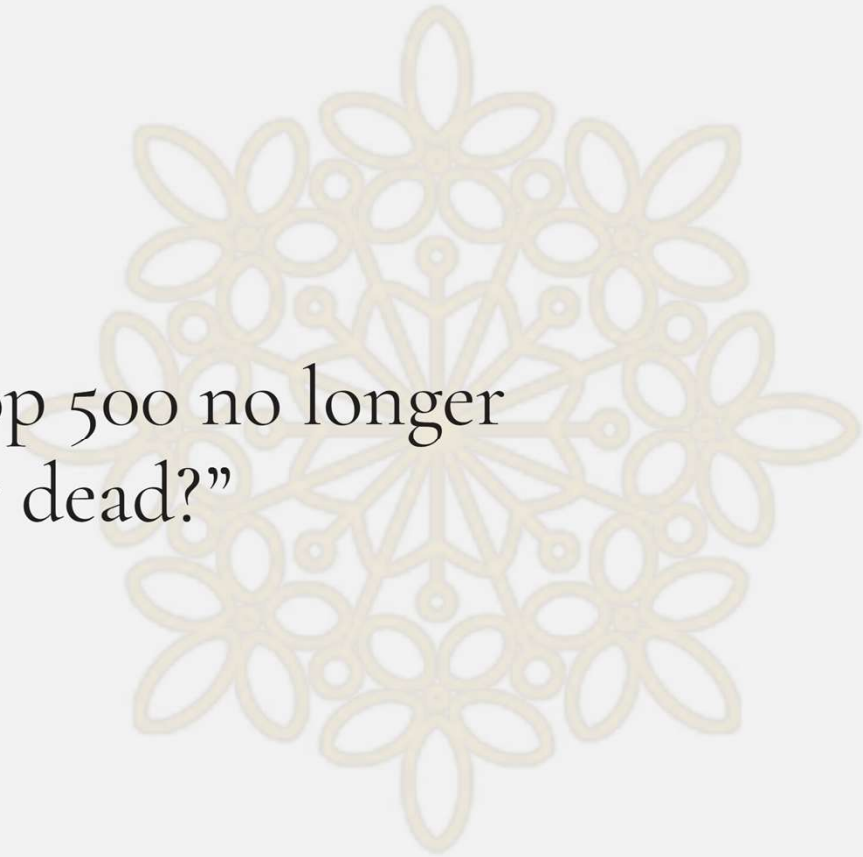
Questions 14–16



“Which household name lost 2,600 ranks?”

Future Retail: 114 to 2,714





"40 of the 2017 top 500 no longer exist. Merged or dead?"

Q15 · ACT V

Forty exits, three fates

Merged

Six public-sector banks, all at once in 2019H2

HDFC Ltd

Mindtree

GRUH Finance

Capital First

Bharat Financial

Failed

DHFL

Reliance Capital

SREI

Cox & Kings

Lakshmi Vilas Bank

Reliance Naval

Manpasand

Delisted or bought out

Hexaware

Monsanto India

GSK Consumer



"Can you see the capex and defence story just from the ranks?"

Q16 · ACT V

The capex story, read from the ranks

2 → 9

top-100 names containing “power” or “energy”, 2017H2 to now (8–9 in recent lists)

Defence and rail

HAL

Mazagon Dock

Bharat Dynamics

Cochin Shipyard

RVNL

IRFC

Capital markets

BSE

MCX

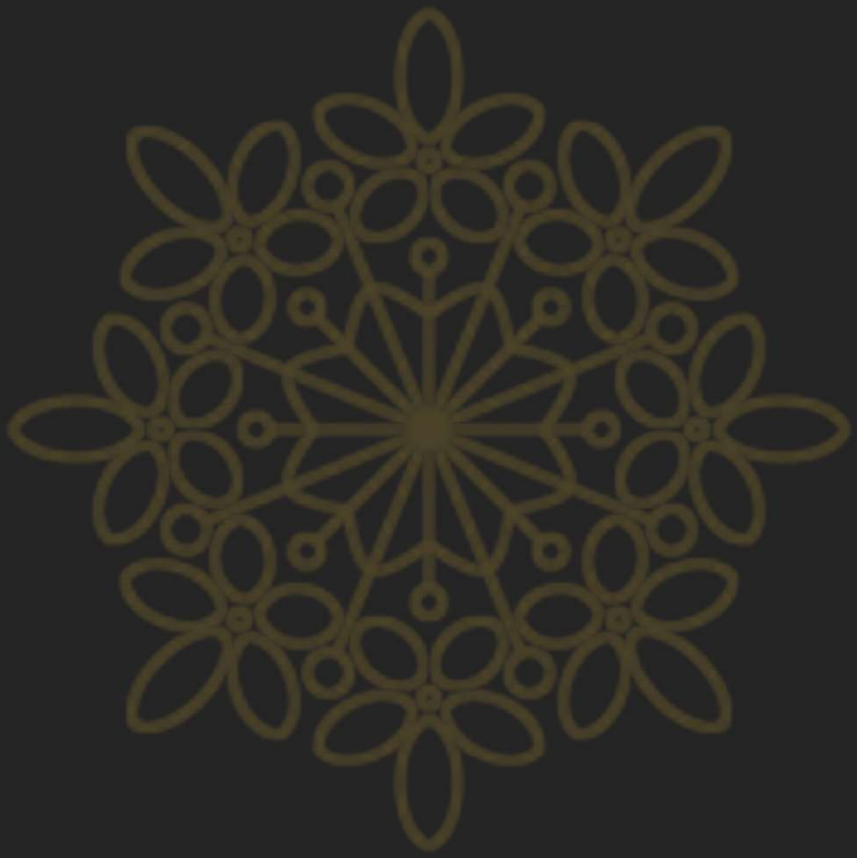
Several AMCs

Caveat: the AMFI data has no sector field, so name keywords are only a proxy.

06

So what?

Questions 17–19





“Small-caps return more, right?”

Q17 · ACT VI

Look at the median, not the mean

STARTING TIER, 2017H2	MEDIAN MULTIPLE	MEAN MULTIPLE	BELOW 2017 VALUE
Large	2.45×	2.6×	11%
Mid	2.13×	3.5×	16%
Small	1.8×	3.23×	25%
Micro	1.55×	2.78×	36% (max 69×)

The typical small company did worse than the typical large one. A few huge winners lift the mean.

Survivors only, which flatters the lower tiers. Market cap includes new share issuance, so this is not total shareholder return.



“Every six months, AMFI redraws the map. What does it cost a midcap fund?”



12–19%

of the mid-cap tier is replaced at every new AMFI list.

Q18 · ACT VI

What the reshuffle sets in motion

- SEBI's one-month window for funds to realign with the new list
- Forced buying and selling clustered around each publication
- An incentive to front-run stocks near the rank-100 and rank-250 borders
- With the border crowded (Q6), small price moves decide who gets bought



"Our first analysis said HDFC Bank IPO'd in 2019. What went wrong?"

Q19 · ACT VI

One bank, two ISINs



- Splits, mergers and demergers change the ISIN; names drift; symbols change (Zomato → ETERNAL)
- ISIN alone inflates exits and IPOs

What you use to identify an entity decides your conclusions.

Size is a position, not a property.

A market-cap tier is a place in a queue that AMFI redraws every six months. The threshold moves, the occupants change, and the border is more crowded than ever.

Source: AMFI half-yearly market-cap lists, 2017H2–2026H1